



SIR JOHN TEMPLETON

As far back as the 1950s, long before global investing became fashionable, Sir John Templeton was searching the world for opportunity. By the mid-1960s, the Templeton Funds were investing in Japan. At that time Japanese stocks were trading at 4 times earnings, while U.S. stocks were at 16 times earnings. "People are always asking me where is the outlook good," he said, "but that's the wrong question. The right question is: Where is the outlook most miserable?" The purpose is to find the most depressed prices. It's about risk/reward ratios, and the risky international strategy paid off—a \$10,000 investment with him in 1954 was worth \$2.3 million 40 years later, which works out to a compound rate of 17 percent per year.

Growing up in rural Tennessee, Templeton was intrigued by the stories that visiting Christian missionaries told of foreign countries, and he decided to join them. However, after attending Yale and then going to Oxford as a Rhodes scholar, he realized he wasn't cut out to be a missionary. "But I also realized," he said, "that I was more talented with money than they were. So I decided to devote myself to helping the missionaries financially." His first major investment was in 1939, when he bought \$100 worth of every stock on every exchange that was trading at less than \$1 (the money to do so was borrowed). After holding onto them for an average of four years, he netted over \$40,000. Shortly thereafter, Templeton found an investment counselor who wanted to sell his business, which he bought for \$5,000.

One of his habits over the years, was leading the Templeton Growth Fund directors in prayer—praying to make the right investment decisions. For Templeton, who became a British citizen and was knighted in 1987, it was not blasphemous. "I think all careers are more successful and satisfying if you use spiritual principles," he said. Templeton believes that spiritual research and progress is just as important as that in science. In 1994, for example, he donated over \$10 million to religious causes. Prayers aside, Templeton had a well-defined strategy for investing, which he boils down to the essentials in *The Time-Tested Maxims of the Templeton Touch*.